

Table 10.1 Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a megaphone, tilted down, with the top of the chart pattern horizontal and bounded on the bottom by a down-sloping trendline.
Horizontal top resistance line	A horizontal line of resistance joins the minor highs, shown by drawing a trendline connecting the peaks.
Down-sloping trendline	The expanding price series is bounded on the bottom by a down-sloping trendline.
Touches	Look for at least five trendline touches, three on one trendline and two on the other. They need not be alternating touches. Price slicing through a trendline doesn't count as a touch.
Whitespace	Price should bounce from trendline to trendline, erasing most whitespace in the pattern.
Breakout direction	Price can break out in either direction, usually accompanied by a rise in volume that soon tapers off.
Partial rise or decline	For an established pattern, when price climbs toward the top trendline or declines toward the lower one but fails to touch it, price often reverses direction and breaks out of the broadening pattern.
Volume	Trends upward most often (but almost random). Don't discard a pattern with a downward volume trend.
Support and resistance	Follows the two trendlines into the future but is sporadic.

Horizontal top resistance line. When two (preferably more) minor highs achieve the same, or nearly the same price, you can draw a horizontal trendline connecting them, forming the top of the pattern.

Down-sloping trendline. The same applies to the down-sloping trendline: It requires at least two distinct touches before drawing the trendline (more touches are better).